

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

In the name of God , Most
Gracious, Most merciful



MGT201

MCQS

1. Which of the following is the primary goal of financial management?

- a) Maximizing profits
- b) Minimizing costs
- c) Maximizing shareholder wealth
- d) Maximizing market share

Answer: c) Maximizing shareholder wealth

2. The term "working capital" refers to:

- a) Long-term assets
- b) Current assets and current liabilities
- c) Fixed assets
- d) Shareholder equity

Answer: b) Current assets and current liabilities

3. Which financial statement shows the financial position of a company at a specific point in time?

- a) Income statement
- b) Statement of cash flows
- c) Balance sheet
- d) Statement of retained earnings

Answer: c) Balance sheet

4. The concept of time value of money is based on the principle that:

- a) Money loses value over time
- b) A rupee today is worth more than a rupee tomorrow
- c) Inflation has no impact on money
- d) Interest rates remain constant

Answer: b) A rupee today is worth more than a rupee tomorrow

5. Which of the following is an example of a non-cash expense?

- a) Salaries
- b) Depreciation
- c) Rent
- d) Interest expense

Answer: b) Depreciation

6. A bond selling at a price above its par value is called:

- a) Discount bond
- b) Premium bond
- c) Callable bond
- d) Convertible bond

Answer: b) Premium bond

7. The discount rate at which the net present value (NPV) of a project becomes zero is called:

- a) Cost of capital
- b) Internal rate of return (IRR)
- c) Break-even point
- d) Payback period

Answer: b) Internal rate of return (IRR)

8. The formula for calculating net working capital is:

- a) Total assets - Total liabilities
- b) Current assets - Current liabilities
- c) Fixed assets - Current liabilities
- d) Cash - Accounts payable

Answer: b) Current assets - Current liabilities

9. Which of the following represents the cost of equity?

- a) Interest expense
- b) Dividends paid to shareholders
- c) Cost of retained earnings
- d) Weighted average cost of capital

Answer: b) Dividends paid to shareholders

10. An investment with high risk typically offers:

- a) Low return
- b) Medium return
- c) High return
- d) Guaranteed return

Answer: c) High return

11. What is the primary purpose of a financial ratio analysis?

- a) To ensure compliance with tax laws
- b) To interpret financial statements
- c) To manage employee salaries
- d) To calculate interest rates

Answer: b) To interpret financial statements

12. Which one is a long-term source of financing?

- a) Trade credit
- b) Bank overdraft
- c) Bonds
- d) Accounts payable

Answer: c) Bonds

13. A firm's capital structure refers to:

- a) Its short-term assets
- b) The mix of debt and equity financing
- c) Its operational expenses
- d) Its dividend policy

Answer: b) The mix of debt and equity financing

14. The weighted average cost of capital (WACC) includes:

- a) Only debt financing
- b) Only equity financing
- c) Both debt and equity financing
- d) Only retained earnings

Answer: c) Both debt and equity financing

15. In financial management, leverage refers to:

- a) Risk of bankruptcy
- b) Use of fixed costs in operations
- c) Use of debt to finance assets
- d) Dividend policy

Answer: c) Use of debt to finance assets

16. The payback period measures:

- a) Profitability of a project
- b) Time required to recover initial investment
- c) NPV of an investment
- d) IRR of a project

Answer: b) Time required to recover initial investment

17. A firm's quick ratio is calculated as:

- a) $(\text{Current assets} - \text{Inventory}) / \text{Current liabilities}$
 - b) $\text{Current assets} / \text{Current liabilities}$
 - c) $\text{Total assets} / \text{Total liabilities}$
 - d) $(\text{Cash} + \text{Inventory}) / \text{Current liabilities}$
- Answer: a) $(\text{Current assets} - \text{Inventory}) / \text{Current liabilities}$

18. The term "liquidity" refers to a firm's ability to:

- a) Generate profits
 - b) Meet short-term obligations
 - c) Manage operational costs
 - d) Increase market share
- Answer: b) Meet short-term obligations

19. Capital budgeting decisions are based on:

- a) Long-term investment analysis
 - b) Short-term liquidity
 - c) Working capital management
 - d) Dividend distribution
- Answer: a) Long-term investment analysis

20. Which of the following is NOT a profitability ratio?

- a) Gross profit margin
 - b) Return on assets (ROA)
 - c) Debt-to-equity ratio
 - d) Net profit margin
- Answer: c) Debt-to-equity ratio

21. Market risk is also known as:

- a) Diversifiable risk
- b) Unsystematic risk
- c) Systematic risk
- d) Specific risk

Answer: c) Systematic risk

22. Which one of the following represents an opportunity cost?

- a) Sunk cost
- b) Lost revenue from a foregone project
- c) Fixed cost
- d) Variable cost

Answer: b) Lost revenue from a foregone project

23. Which of the following securities has the highest priority during liquidation?

- a) Common stock
- b) Preferred stock
- c) Debentures
- d) Secured bonds

Answer: d) Secured bonds

24. What is the purpose of financial forecasting?

- a) To manage day-to-day expenses
- b) To estimate future financial performance
- c) To calculate historical profitability
- d) To track cash flows

Answer: b) To estimate future financial performance

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25. Diversification reduces:

- a) Systematic risk
- b) Market risk
- c) Unsystematic risk
- d) Interest rate risk

Answer: c) Unsystematic risk

26. Annuities are defined as:

- a) A series of unequal payments
- b) A series of equal payments made over time
- c) A one-time lump sum payment
- d) Cash inflows only

Answer: b) A series of equal payments made over time

27. Which of the following is a component of the cost of capital?

- a) Tax liabilities
- b) Depreciation
- c) Retained earnings
- d) Issuance cost

Answer: c) Retained earnings

28. The financial statement showing revenues and expenses is called:

- a) Cash flow statement
- b) Balance sheet
- c) Income statement
- d) Statement of changes in equity

Answer: c) Income statement

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29. Which type of risk is eliminated through portfolio diversification?

- a) Credit risk
 - b) Systematic risk
 - c) Interest rate risk
 - d) Unsystematic risk
- Answer: d) Unsystematic risk**

30. Preferred stockholders typically:

- a) Have voting rights
 - b) Receive fixed dividends
 - c) Are the last to be paid in liquidation
 - d) Benefit from stock splits
- Answer: b) Receive fixed dividends**

31. In the context of bonds, the term "coupon" refers to:

- a) Principal amount
 - b) Market price
 - c) Periodic interest payment
 - d) Maturity date
- Answer: c) Periodic interest payment**

32. The effective annual rate (EAR) is:

- a) The nominal rate adjusted for compounding
 - b) The simple interest rate
 - c) The risk-free rate
 - d) The average market rate
- Answer: a) The nominal rate adjusted for compounding**

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33. The term "beta" in finance measures:

- a) Market return
 - b) Risk-free rate
 - c) Systematic risk of a security
 - d) The cost of capital
- Answer: c) Systematic risk of a security

34. Which method of evaluating investment projects considers the time value of money?

- a) Payback period
 - b) Accounting rate of return
 - c) Net present value (NPV)
 - d) Profitability index
- Answer: c) Net present value (NPV)

35. The cost of capital is also referred to as:

- a) Weighted average return
 - b) Hurdle rate
 - c) Break-even point
 - d) Debt-equity ratio
- Answer: b) Hurdle rate

36. An optimal capital structure is achieved when:

- a) The firm maximizes its WACC
 - b) The firm minimizes its WACC
 - c) The firm has no debt
 - d) The firm has 50% equity
- Answer: b) The firm minimizes its WACC

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37. The intrinsic value of a stock is calculated using:

- a) Book value
 - b) Market price
 - c) Dividend discount model
 - d) Earnings per share
- Answer: c) Dividend discount model

38. The term "leveraged buyout" refers to:

- a) A company buying assets using equity
 - b) The acquisition of a company using borrowed funds
 - c) Selling off assets to repay debt
 - d) A merger financed by cash reserves
- Answer: b) The acquisition of a company using borrowed funds

39. Which of the following reduces agency problems in a company?

- a) Offering managerial stock options
 - b) Increasing fixed costs
 - c) Reducing leverage
 - d) Lowering salaries
- Answer: a) Offering managerial stock options

40. Which of the following statements about bonds is true?

- a) The coupon rate is always higher than the yield to maturity
 - b) Bonds are equity instruments
 - c) A bond's price is inversely related to interest rates
 - d) Bonds are not affected by market risks
- Answer: c) A bond's price is inversely related to interest rates

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41. The profitability index is calculated as:

- a) Total cash inflows / Total cash outflows
 - b) Present value of cash inflows / Initial investment
 - c) Net cash inflows - Initial investment
 - d) IRR / NPV
- Answer: b) Present value of cash inflows / Initial investment

42. Which of the following is a limitation of the payback period method?

- a) It ignores the initial investment
 - b) It ignores the time value of money
 - c) It is difficult to calculate
 - d) It considers all cash flows
- Answer: b) It ignores the time value of money

43. Which ratio measures a firm's ability to cover its short-term liabilities with its short-term assets?

- a) Quick ratio
 - b) Current ratio
 - c) Debt ratio
 - d) Times interest earned
- Answer: b) Current ratio

44. Earnings per share (EPS) is calculated as:

- a) Net income / Total assets
 - b) Net income / Total liabilities
 - c) Net income / Number of outstanding shares
 - d) Net income / Market price
- Answer: c) Net income / Number of outstanding shares

49. The cash conversion cycle is a measure of:

- a) Profitability
- b) Liquidity
- c) Operating efficiency
- d) Debt management

Answer: c) Operating efficiency

50. Which of the following is an example of systematic risk?

- a) Labor strike in a company
- b) Changes in government regulations
- c) Management inefficiency
- d) Fire at a warehouse

Answer: b) Changes in government regulations

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WhatsApp:

<https://whatsapp.com/channel/0029VaODheTDp2Q8YVco0N2p>

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<https://youtu.be/-AMj4iNz0UE?si=hg29pJZ1kujzg57J>

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Passing criteria of this course

Letter Grade	Grade Points	Equivalent Percentage
A+	4.00	90-100
A	4.00	85-89
A-	3.66 - 3.99	80-84
B+	3.33 - 3.65	75-79
B	3.00 - 3.32	71-74
B-	2.66 - 2.99	68-70
C	2.00 - 2.65	61-67
D	1.00 - 1.99	50-60
F	0.00	00-49

Passing Criteria for a Course:

The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.

Therefore, for passing a course/subject, student shall fulfill the following:

- Secure minimum **20%** score in Formative Assessments/Mid terms
- Secure minimum **20%** score in Final Term Examinations.
- Secure at least **40%** marks in aggregate while fulfilling the above requirements

Course Selection and Credit Hours

Q: How do I select courses when the course selection is open?

A: Follow these steps:

- 1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).**
- 2. Each subject typically has 3 credit hours.**
- 3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.**

Examples:

21 credit hours = 7 subjects

15 credit hours = 5 subjects

Remember, the university may allow different credit hours for each student, so check your specific allowance.

By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.

ZB

Advice

Hmaesha relax ho ke parha kryn panic mat hua kryn apky parents ky bohat khawab hoty hn wo pura krny ki puri koshish kea kryn kbi b ksi pe depend na kea kryn apko bs ak insan success kr saqta ha or wo insan ap khud hn apky elawa koi nahe ap bs koshish kryn Allah pak pe strong yakeen rakha kryn or mehnat krke sb Allah ke hawaly kr dea kryn everything is possible be brave be strong stay blessed

Hum insan hamesha moat se darty or bhagty hn or moat se bachny ki koshish krty hn jabke moat ny ana hi ana ha hum

moat se nahe bach saqty humy jahanam se bachny ki koshish
krni chaheay hum jahanam se bach saqty hn
Insan ko 3 chezo se dar lagta ha Moat Risk/Dolat Ezat Shohrat
Fame

Moat

**Humy pta hona chaheay Moat tab ani ha jab Allah
chahy us se pehly puri dunya bi ak taraf ho ke apko
marna chahy to apka kuch nahe beggar saqti**

Risk/Dolat

**Risk Dolat sb Allah pak ke hath m ha puri dunya ak
taraf b ho jay na apsy apka risk cheen saqti ha na de
saqti ha Ye sirf ALLAH pak ky hath m ha**

Izat Zilat shohrat Fame

**Izat Zilat Sirf Allah de saqty hn puri dunya mel ke b
apko zra brabr b damage nahe kr saqti Agr ALLAH**

**Apko izat dena chahay to puri dunya ak taraf ho ke
b apko 1% b nuksan nahe pohancha saqti**

Phr Dar ks bat ka ????????????????

**Be brave be strong Just put your trust To ALLAH
Hamesha Confident or himat se raho kbi ksi k samne
mat jhuko puri dunya mel k b apka kuch b nahe
beggar saqti**

ZB
MY REQUEST FROM ALL OF YOU

ZB Request from All of you My family

Mjy ap sbki help or support ki zarort ha or wo ye k hum sb Mel kr Allah ka Quran ki Urdu translation logo tak pohanchy or Quran ko samjna asaaan kryn dosro k leay sb tak Allah ka Quran pohanchy it's my campaign hum log 70+ age k ho jaty hn phr b hmy namaz tak ki translation nahe pta hoti k hum Allah pak se

Kya Dua kr rhy hn so hum youngster's ko Mel kr puri takat or energy ke sath Allah ka Quran spread krna ha

Hum puri Koshish kr rhy hn k hum sb Mel k Quran ki translation or most important topics ko maximum share kry with translation hmara maksad Quran ko spread krna ha be a part of us

m apni pocket se ye sb kr rha ho Allah ka Quran spread krny k leay apne or mene sbny Marna ha ak din to q na Allah k leay Kuch kryn apni energies apni power ko bajay negative use krny k Allah k leay invest kryn khud ko be a part of us

Agr m 23 ki age m apny sare sources use kr rha ho pocket se heavy amounts give away kr rha ho Quran spread krny k leay to ap just share to kr saqty hn itna e krdyn

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ZB

Agr ap mujsy contact na kr sky too b ap jo b hn jaha bi hn waha Allah ka quran pheelay zada se zada with urdu translation jitni himat ha utna share kryn

..... **MY Family**

**ust Relax and focus! Exams are not difficult. Put in your
100% effort and trust in Allah.**

..... **AL-Quran**

**"And indeed, with hardship comes ease." (Quran 94:5)
Remember, I'm here to support you! Stay brave and strong!"**

May Allah bless you